FINRA Rule 2342 - “Breakpoint” Sales

Official source: FINRA.org/rules-guidance/rulebooks/finra-rules/2342

A member may not sell investment-company shares in dollar amounts just below a breakpoint in order to share in the higher sales charges applicable below the breakpoint.

FINRA considers the facts and circumstances, including whether records demonstrate execution under a bona fide asset-allocation program designed to meet diversification needs and investment goals and whether customers were told they might not qualify for otherwise available breakpoint reductions.